



ASSETS

Here, we do not focus on how much we own, but on the liquidity of our assets and how thick our support system is using assets. The questions to be answered are:

ARE YOUR ASSETS LIQUID?

Liquidity of assets refers to the time taken to convert our asset into cash (if we want to). Gold or FD can be converted to cash overnight. However, an ancestral land will take 1-2 years if we wanted to sell it. Easily convertible assets are liquid assets and those that take time are illiquid assets. Higher the liquidity, higher is the risk-taking ability.

HOW MUCH OF YOUR TOTAL ASSETS IS SUPPORT ASSETS?

Refer the personal balance sheet and see what percentage of total assets is under support assets. Higher the support assets ratio, greater is our risk-taking ability. However, we must balance it with the size of the investible portfolio too. If it is too small in absolute terms, we might not end up meeting our financial goals.



INCOME

Using this parameter, we establish the stability of our income and also whether we are more dependent on income or assets. The questions to be dealt with are:

HOW STABLE IS YOUR INCOME?

Some people have stable government jobs, some have startup jobs, some have commission-based income and others may run a business. We need to evaluate if our income is stable i.e. predictable or variable where some years we earn exceptionally well and others, not so much. Stable income increases our risk-taking ability whereas unstable income reduces risk-taking ability.

WHAT IS SIZE OF YOUR INCOME WITH RESPECT TO TOTAL ASSETS

Find out the percentage of our total income to our total assets. If we earn Rs.10 lac annually, and own assets worth Rs.1 crore i.e. 10% income ratio, then we have enough assets for our survival. At the same time if we only had assets worth Rs. 20 lac i.e. 50% income ratio, then we depend more on income. Higher the income ratio, higher is the dependence on income, and lower is the risk-taking ability.